Next, acquaint yourself with your employer's severance policy. Do laid-off employees receive severance pay? If so, is it based on years of service or other criteria? Will you be paid your accrued vacation balance upon termination? What will happen to your benefits if you lose your job? Will you be able to continue your health insurance benefits under the Consolidation Omnibus Budget Reconciliation Act (COBRA)? How much will it cost? It's foolhardy to go without at least catastrophic health insurance, so know what your other alternatives are if you can't afford to elect COBRA coverage (note that COBRA is often much more expensive than the monthly deduction from your paycheck—you have to pay the entire bill without the help of your employer). An illness or accident while you're uninsured could leave you no alternative but bankruptcy.

If the Worst Happens

If you get the pink slip, apply for unemployment on the first day of your layoff so you'll receive the maximum benefits for which you're eligible. Some people are reluctant to file for unemployment because they feel it's a type of welfare, but it isn't. Your employer contributes to your state's unemployment insurance fund as well as a federal unemployment fund. You earned those benefits by working. If you need them, use them.

Unemployment benefits are typically about half of your regular earnings, up to your state's cap, paid for a maximum of twenty-six weeks. Your state's cap is based on the average wages in your state. For instance, the state maximum benefit in Massachusetts, effective October 2, 2011, is $653 per week, while South Dakota's is $323 a week. You'll be required to prove that you're actively seeking work while receiving unemployment benefits, and you must be ready, willing, available, and able to work. Unemployment benefits are subject to federal income tax, so you'll need to claim them at the end of the year. Be prepared for the additional taxes you may owe as a result.

During a period of unemployment, resist the urge to use your credit cards unless absolutely necessary for critically important expenses. If you can't make ends meet, contact your creditors, tell them you've lost your job but are actively seeking employment, and request an arrangement that allows you to make reduced payments for a limited time.